

Whichever way a business decides to raise money, through borrowing or selling shares, lenders and shareholders expect something in return for their money. The most usual source of loans for business are banks, which will lend money at an agreed to rate of interest (a percentage of the total loan) over a period of time. The bank makes an overall profit from this, since the business has to pay back the original loan plus interest. But it's not only banks that lend money to businesses. Large companies can also sell corporate bonds, effectively borrowing money from private investors that will be paid back later. Governments also often offer loans to companies, particularly to help new businesses start up, or to encourage industries that will benefit the community. Some industries, such as producers of renewable energy, may even be given grants or subsidies by the government that don't have to be repaid.

